Palantir Technologies Inc.

PLTR NYSE

Hold	$155.85 ▼ 9.23%	12M Price Target	52-Week Range	Market Cap
		$170.00	$106.37 – $212.94	$375.50B

PLTR: Dem Sweep Spooks AI Darlings Despite Blowout Quarter

WHAT HAPPENED

- PLTR just got slaughtered -9.2% to $155.85, and here's the kicker — they reported their BEST growth quarter ever. That's the tell: this isn't about the business, it's about politics. The Democratic sweep in yesterday's election has Wall Street dumping defense/AI names on fears of budget cuts and tighter regulation.
- The whole high-multiple AI software cohort got hit (CRWD -9%, OKTA -10%) — meaning this is a sector-wide "risk-off" move in expensive software, not a PLTR-specific blowup. Insiders have been selling into strength for weeks too (directors dumped shares at $186-$195), which looks smart in hindsight.

WHY IT MATTERS

Here's what this really means: the market is repricing PLTR for a world where defense discretionary spending gets squeezed and AI gets more heavily regulated. Palantir derives roughly half its revenue from Uncle Sam, so a Democratic trifecta that prioritizes domestic spending over defense is a genuine headwind — not fatal, but real. The irony is the Q3 print was a monster (commercial AI adoption is clearly working), but when a stock trades at 250x forward earnings — meaning you're paying $250 today for every $1 of profit next year — ANY political uncertainty causes violent repricing. Watch this: if PLTR can keep growing commercial revenue 50%+, the government-dependency story weakens and the stock stabilizes; if commercial growth slows while DC turns hostile, you've got a double whammy.

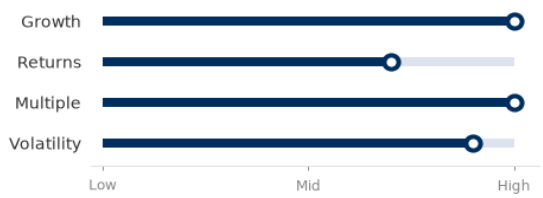
POLICY & POLITICAL WATCH

The big one to watch: the incoming Democratic Congress is likely to push an AI Safety & Accountability Act in Q1 2027 — if it includes algorithmic auditing requirements for federal AI contractors, PLTR actually benefits (they're already compliant; smaller competitors aren't). BUT the FY2027 defense appropriations bill is the real swing factor — if Dems trim the Pentagon's AI/software modernization budget (currently ~$1.8B that PLTR competes for), that directly hits their government growth rate. Also keep an eye on ICE/CBP contract reviews — Palantir's immigration enforcement work is politically toxic to the new administration and those contracts (~$200M annually) could face non-renewal.

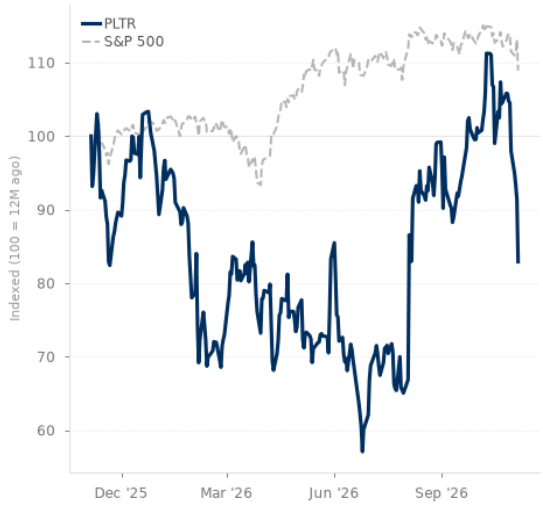
IS IT EXPENSIVE?

Key Data	
Price (USD)	**$155.85**
12M Price Target	**$170.00**
Upside / (Downside)	**+9.1%**
Market Cap	**$375.50B**
FY2026E Revenue	**$4,200M**
FY2027E Revenue	**$5,800M**
FY2026E EPS	**$0.62**
FY2027E EPS	**$0.85**
Fwd P/E	**251.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

PLTR — Palantir Technologies Inc. | November 05, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$180.00**	$160.00	**$135.00**
6 Months	**$210.00**	$170.00	**$120.00**
1 Year	**$240.00**	$180.00	**$110.00**
2 Years	**$300.00**	$210.00	**$95.00**
5 Years	**$450.00**	$280.00	**$80.00**
10 Years	**$700.00**	$400.00	**$70.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples and Comm Services holding up best (+3-4% weekly) — classic defensive rotation when investors get nervous about policy change. Healthcare also catching a bid on expectations of expanded Dem health spending.

COOLING OFF: Energy getting crushed (-8.7% weekly) on expectations the new administration pulls back on drilling permits and reinstates climate regs. Defense tech/AI software getting repriced for budget risk.

ROTATION WATCH: Money is fleeing high-multiple growth (AI, defense software) into boring defensives and healthcare — this is textbook "political uncertainty" positioning. It usually overshoots, then reverses in 4-6 weeks once the actual policy details emerge.

RELATED PLAY: If you still want AI exposure but want to dodge the government-dependency risk, look at pure commercial AI plays like MSFT or SNOW — they have the AI tailwind without the Pentagon budget risk.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Diversified AI play without defense budget risk — the "safe" way to own AI through a political transition.
- LMT (Lockheed Martin): Traditional defense primes actually held up better than software/AI names today — investors trust hardware contracts more than software contracts to survive budget negotiations.

PLTR CONTEXT: PLTR is lagging hard — down 25% from its October high while the broader market is roughly flat. That's a brutal relative underperformance and tells us the market views PLTR as the MOST exposed name to the political shift. That's either a buying opportunity or a warning sign — the next 2-3 weeks of political news flow will tell us which.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I love the business but hate the setup; great company, wrong time to be a hero.

POSITION SIZE: Keep it small, 2-3% max. The upside is real but so is 30% more downside if the political narrative gets worse before it gets better.

ENTRY POINTS: I'd wait for $135-145 — that's where the stock would be trading at a "merely expensive" 70x sales and where longer-term holders start stepping in.

TIME HORIZON: 12-24 months — you need to see through the FY2027 defense budget cycle (which gets resolved by Q2 2027) to know if the government story is intact.

WHEN TO BAIL: Cut the position if (1) they lose a top-10 government contract, (2) commercial revenue growth drops below 40%, or (3) the stock breaks $110 on heavy volume — that would signal the bull thesis is broken.

HEDGING: Simplest hedge — buy some out-of-the-money puts (basically insurance that pays off if the stock crashes) for the next 60 days while the political dust settles. Or just own less of it until the picture clarifies.

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